

Trend Lines

Cheat Sheet



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Trading Trend Lines



Trendlines are really useful ways of determining the strength of a move. In this picture we can see that the trend line has held for 3 bounces so far, so we can say that this is a 'confirmed' trendline. If price breaks below this trend line one can take profit on a long, or open a short position.



Explained in Contenders Trendline Trading stream on 21. 8. 2019 (15:50)



Trading Trend Lines

Many people will wait for a trend line to be 'confirmed' before they will take a trade from it.

For a trendline to be classed as confirmed it requires 3 touches. I will trade the 3rd touch, whereas many will not trade the 3rd touch, wait for it to bounce from the 3rd touch, thus having it confirmed and try and then trade the 4th touch.

What can happen is that now the trend line is confirmed, too many people are watching the trendline and it becomes a 'crowded trade' and it is less likely to hold.



Daniel has his own way of trading trend lines. He buys the third touch of the trendline and shorts the fourth touch if price breaks down and retests it as resistance (longing 4th touch is crowded trade).



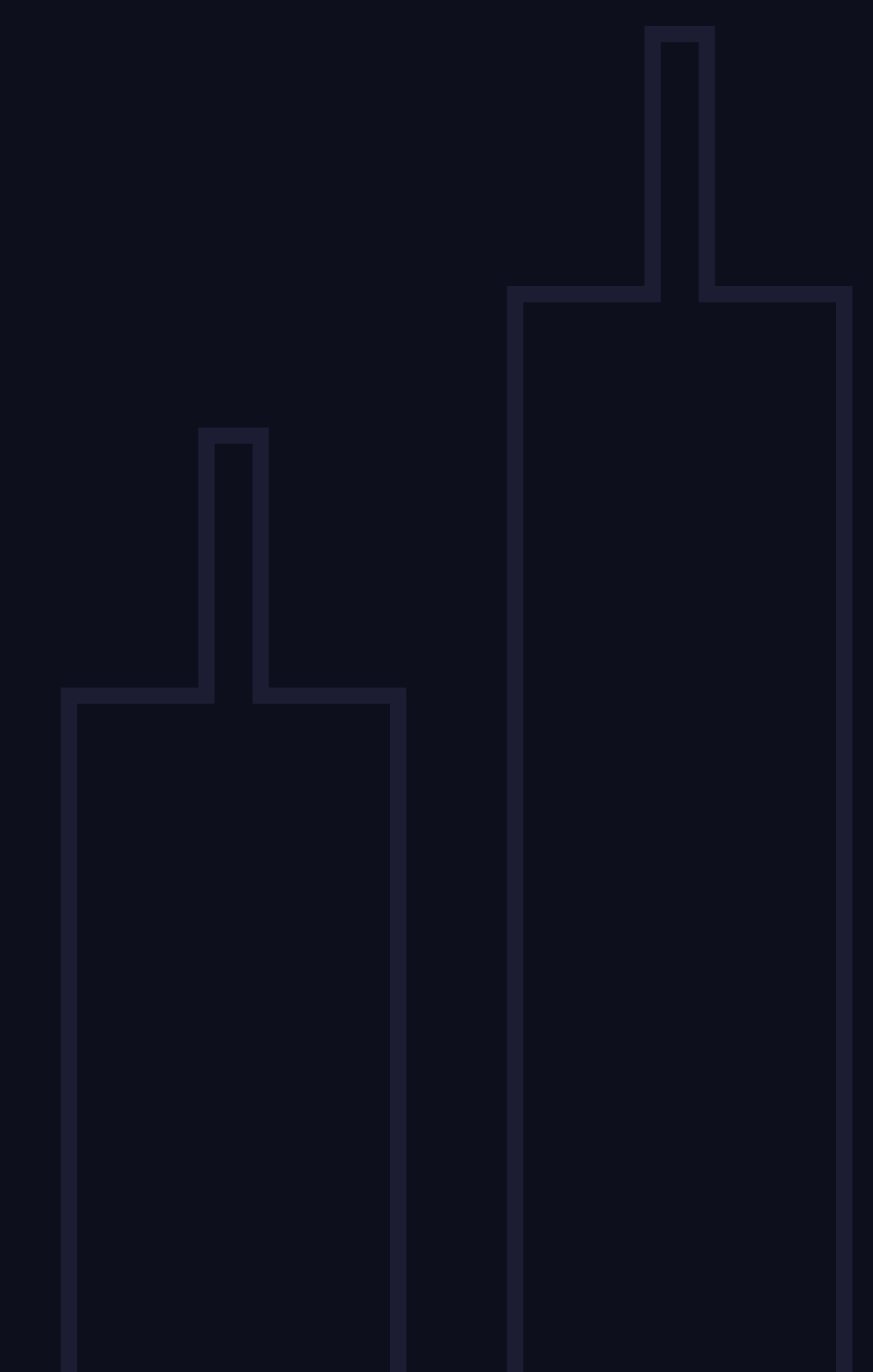
Explained in Contenders Trendline Trading stream on 21. 8. 2019 (17:44)



Trading Trend Lines Live Trade Example



The example from the previous sheet traded as expected and on the 4th touch broke the trendline support, re-tested it as resistance which held, and then price moved down for another wave.



Explained in Contenders Trendline Trading stream on 21. 8. 2019 (22:18)



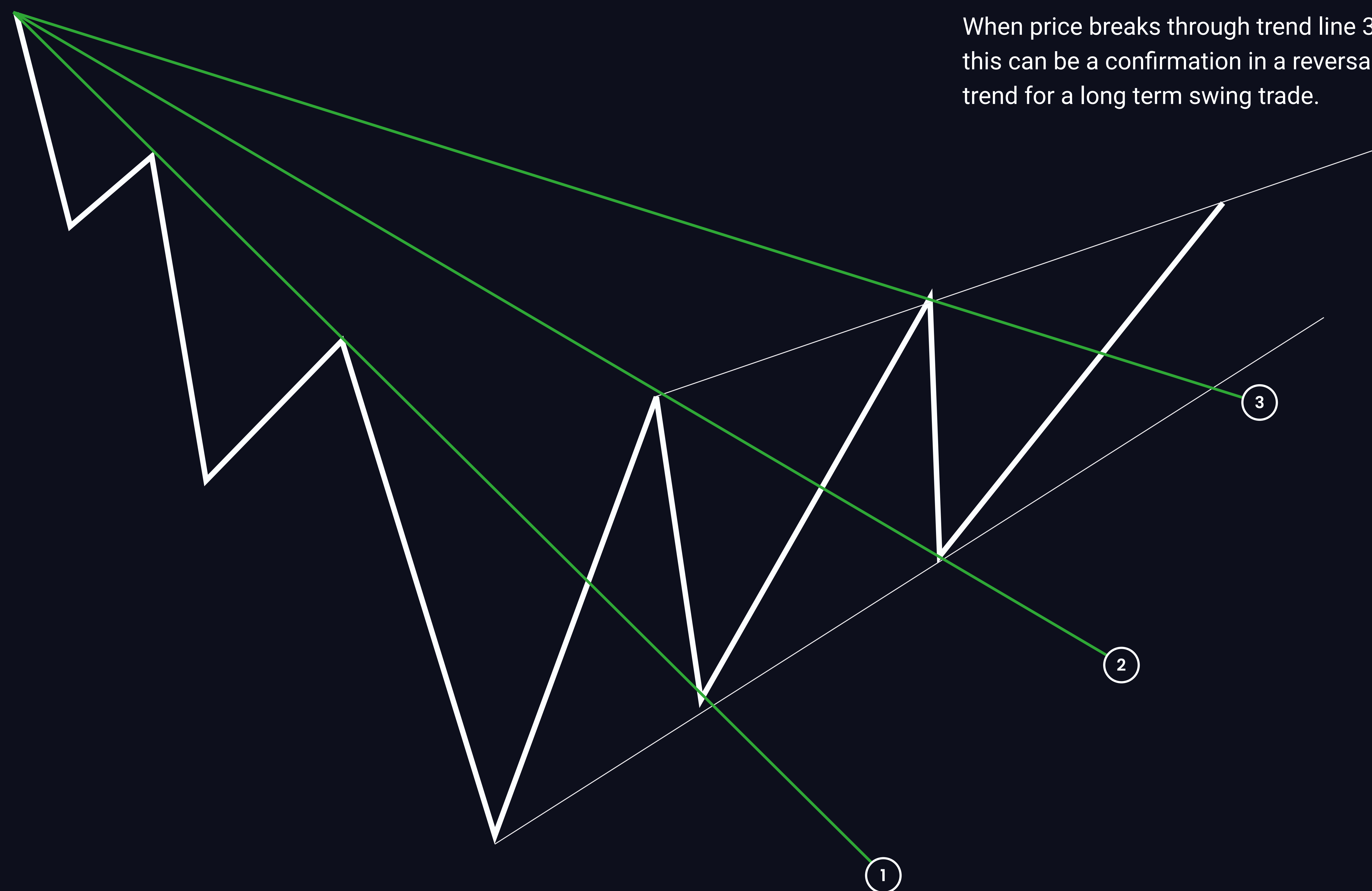
3 Trend Line Fan Break

3 trend line fan break strategy is best used on HTF. One has select the pivotal high and connect the series of highs that are forming the downtrend. When price breaks through trend line three this can be a confirmation in reversal.

The first downtrend trendline keeps price in a downtrend during an extended time. Price finally breaks through the first trendline and forms a top, retraces back to trend line 1 resistance which is now support. Price goes through trend line 2 and forms a 3rd top, and retraces back to trend line 2 support.

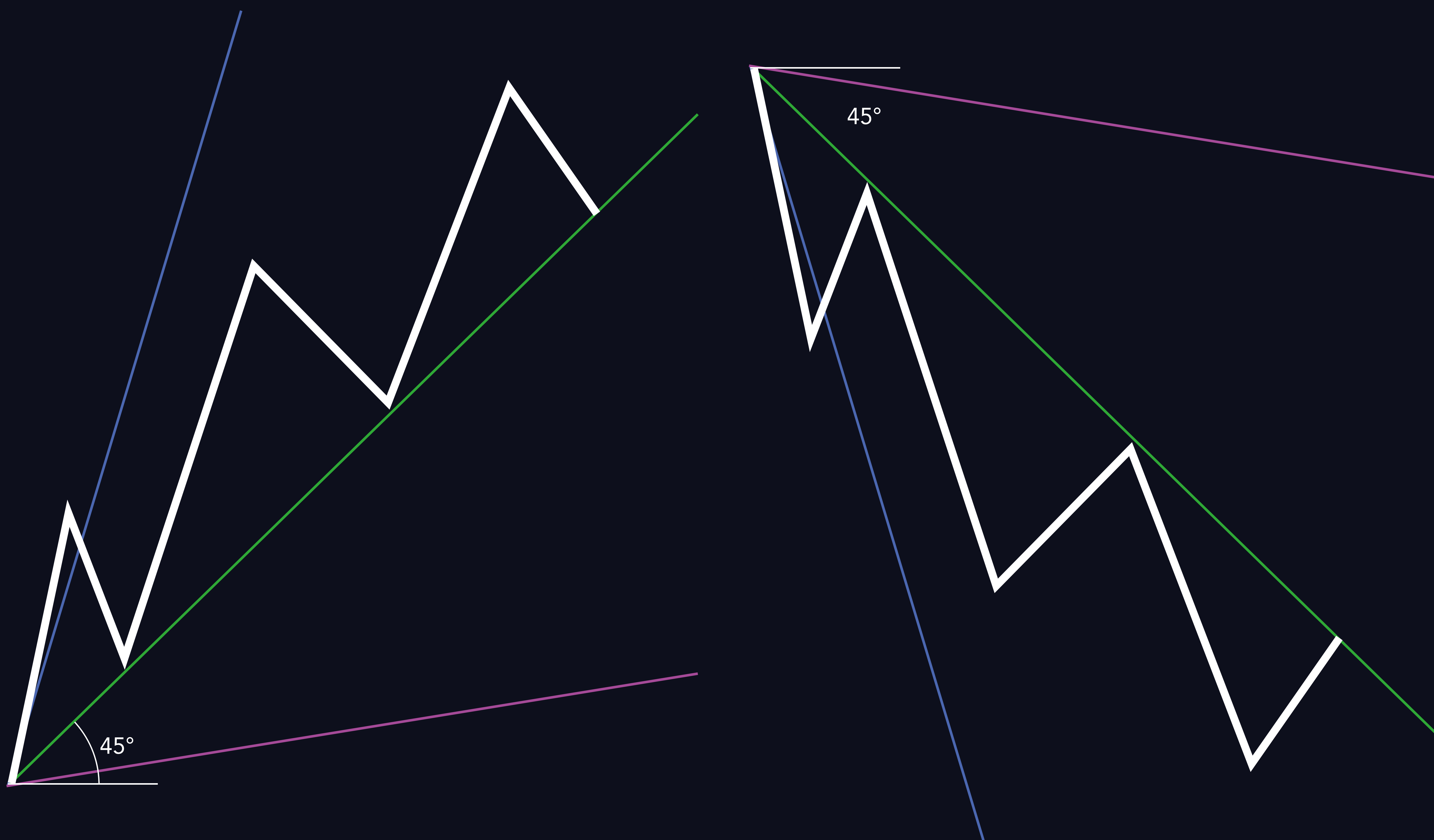


Explained in Contenders Trendline Trading stream on 21. 8. 2019 (31:13)





45 Degree Trendline Stops



This tool measures the strength of the trend. When trend rises/declines at 45-degree angle this is a healthy trend and can continue while parabolic and weak trend are not healthy. A trend should rise or decline at an angle of about 45 degrees, this is a healthy trend that can continue (green).

Too far over that and the move is parabolic and when the price is broken the retracement will be large (blue). Too far below that and the trend may not be trusted as it is too weak (red line).



Explained in Contenders Trendline Trading stream on 21. 8. 2019 (31:13)



45 Degree Trendline Stops



Internal trendlines can be used to connect as many lows and highs as possible which are respected.



Explained in Contenders Trendline Trading stream on 21. 8. 2019 (48:11)